turn depends upon the ability to collect the user charges from the consumers. To make this happen following ***three*** factors are extremely important:

(i) Reform of the power sector,

(ii) Introduction of road user charges (either directly via tolls or indirectly via a cess on petrol diesel), and

(iii) Rationalisation of railway fares.

The experts[60] have suggested for expanding public investment in the sector supplemented duly by a vigorous effort of attracting private investment (domestic as well as foreign). Creating the conducive environment to attract private investment in the infrastructure should include:

(i) Simplification and transparency in the clearance procedures;

(ii) Unbundling an infrastructure project so that the private sector may go for only those unbundled segment of the project whose they are able to bear; and

(iii) Providing credible and independent regulatory framework so that the private players get fair treatment.

Official Ideology

Putting in place the quality and efficient infrastructure services is essential to realise the full potential of the growth impulses surging through the Indian economy. There is now a widespread consensus[61] (now clearly accepted by the Planning Commission) that exclusive dependence on government for the provision of all infrastructure services introduces difficulties concerning adequate scale of investment, technical efficiency, proper enforcement of user charges, and competitive market structure. At the same time, complete reliance on private production, particularly without appropriate regulation, is also not likely to produce optimal outcomes[62]. India, while stepping up public investment in infrastructure, has been actively engaged in finding the appropriate policy framework, which gives the private sector adequate confidence and incentives to invest on a massive scale, but simultaneously preserves adequate checks and balances through transparency, competition and regulation.